

Early Retirement In The Private Sector: Are Workers Responding Rationally To Financial Incentives?

KEY INSIGHTS

- **Early retirement is strikingly high in the private sector.** Over the last 5 years, over 57% of all retirees retired early, and approximately 80% of workers eligible to retire early chose the early retirement option.
- **Early retirees have drastically different backgrounds than normal retirees.** Early retirees tend to have higher education levels, earn higher wages, and enter the private sector at much earlier ages. Many early retirees also work in the oil and gas sector.
- **Many early retirees are foregoing lifetime pension wealth by retiring early.** The generous accrual rates embedded in the pension system mean that the average worker has a financial incentive to continue working until the age of 55. This suggests that workers may not have complete information on the benefit rules, and that a targeted information intervention could be effective in incentivizing delayed retirement.

The pension system provides a financial incentive to continue working until the age of 55.

LIFETIME PENSION WEALTH AND THE IMPLICIT TAX ON CONTINUED WORK

Figure 1 shows how lifetime benefits are maximized at age 55 for the average worker who enters the private sector at the age of 20. At age 55, the average worker faces an implicit tax on continued work, as shown in Figure 2. This means that the incremental increase in pension exceeds the incremental increase in retirement benefits at this age, and thus working an additional year acts as a “tax” on lifetime pension wealth.

Figure 1 | Predicted pension wealth and benefits by age

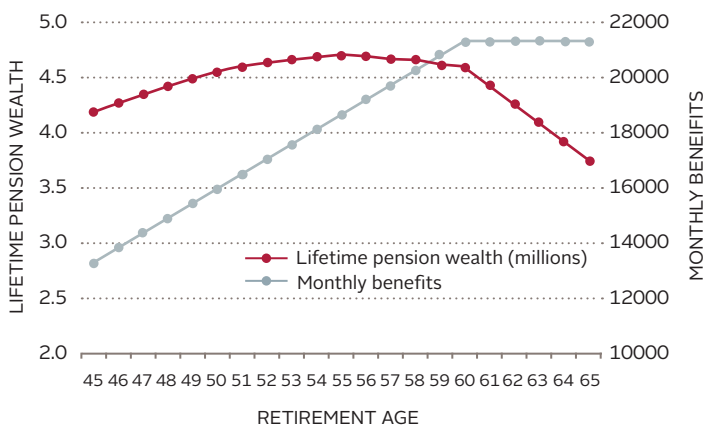


Figure 2 | Implicit tax of continued work at retirement

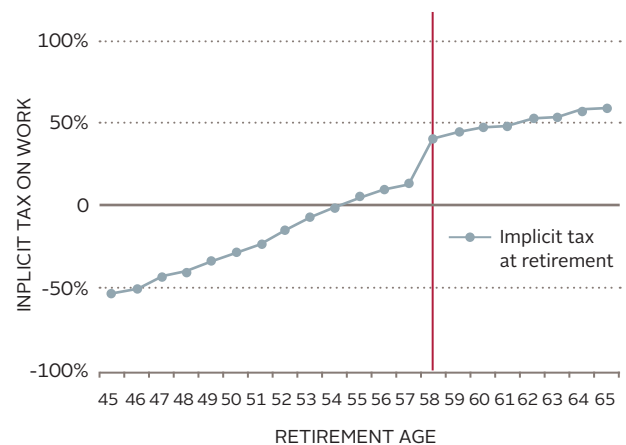
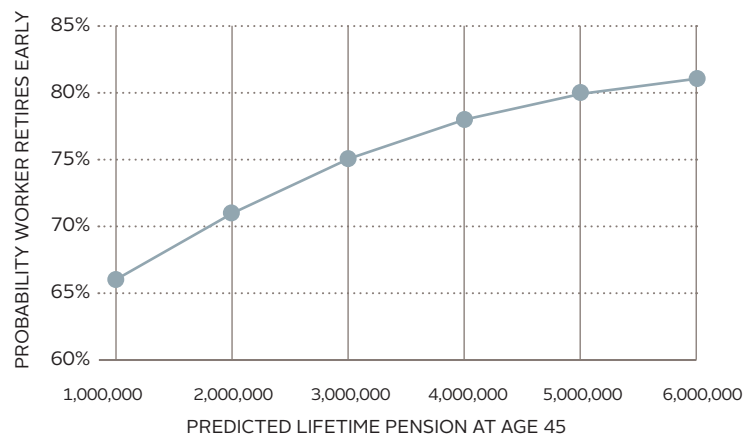


Figure 3 | Predicted lifetime pension on probability of early retirement



WORKERS RESPOND TO PREDICTED LIFETIME BENEFITS

Recent analysis by Professor Nada Eissa explored the different types of retirees over the past 5 years, and found that retirees can be classified into 4 different groups: 1) Early retirees with reasonable wage growth throughout their working lives (46%), 2) Early retirees whose wages spike just before retirement (11%), 3) Normal retirees who enter the private sector in their 20s or 30s (25%), and 4) Normal retirees who enter the private sector after the age of 40 (18%). The incentives in the pension system reward wage growth before retirement, and some early retirees do respond to these incentives by retiring immediately after a wage spike.

While 57% of all retirees retired early, **a full 80% of workers eligible for early retirement took the early retirement option.** Among these workers eligible for early retirement, Professor Eissa's analysis shows that having a high school degree or higher increases the probability of early retirement by 46%, holding all other factors constant. The figure above shows that workers with higher predicted lifetime pensions are also significantly more likely to retire early, even when controlling for other factors.

IMPLICIT TAXES IN THE PENSION SYSTEM SEEM TO MATTER

An implicit tax (subsidy) on continued work is the net reduction (increase) in pension benefits relative to the additional contribution a worker makes by working an additional year. Professor Eissa's analysis shows that in a given year, workers facing higher implicit tax rates are more likely to retire than those facing low implicit tax rates: **A 50% increase in the implicit tax rate increases the probability that a worker retires in a given year by 20%.** However, most early retirees still choose to retire when they face an implicit subsidy on continued work — their net pension wealth would increase by working an additional year.

How can policymakers effectively use this information?

Understanding how workers respond to incentives in the pension system is important when considering policy reforms. For example, since workers are more likely to retire when they face higher implicit tax rates, one suggested reform would be to create more generous accrual rates at older ages, which would reduce the implicit tax that older workers face and possibly delay labor force exit.

Moreover, the fact that many early retirees choose to retire despite facing an implicit subsidy to continued work suggests that workers may not have complete information on the pension rules. Therefore, a targeted information intervention on how a worker's benefits would change if they chose to work an additional year could effectively encourage workers to delay retirement. With this full information, workers may be more likely to delay retirement in order to increase their lifetime pension benefits.

RESEARCH TEAM

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